

DECLARATION

I hereby declare that the Project Report entitled is my original work and the same has not been submitted to any other institute for the award of any other degree. This is submitted for the partial fulfillment of the requirements of internal evaluation of +2 level at Global College of management.

Signature of the student:

Name of the student: Pristi Shrestha

Grade: 12

Roll No. : 21

Section: D

Shift: Day

Date of submission: 2082/5/

FACULTY'S EVALUATION

I, Prakash Bohora, as a faculty member of Accountancy at the Global College of Management, forward this project Work Report prepared by Pristi Shrestha entitled as the partial fulfillment of the internal evaluation of +2 level. I, therefore, recommend this project work report for evaluation.

Name of faculty: Prakash Bohora

Signature of faculty: _____

Date: 2082/5/

Obtained marks: _____

Full Marks:

ACKNOWLEDGEMENT

I would like to express my heartfelt gratitude to my respected teacher, Mr. Prakash Bohora, whose valuable guidance, support, and encouragement have been instrumental in completing this work. His insightful suggestions and continuous motivation truly inspired me throughout this journey.

I am equally thankful to my friends, whose constant help, cooperation, and positive energy made this endeavor both meaningful and enjoyable.

Lastly, I would like to extend my sincere appreciation to the Global College of Management for providing me with the platform, resources, and a learning environment that enabled me to explore and enhance my knowledge.

OBJECTIVES

The objectives of this project are as follows:

- To understand the concept and structure of a cost sheet.
- To identify different elements of cost in a manufacturing business.
- To apply cost accounting principles using hypothetical data.
- To analyze the relationship between various cost components and total production cost.
- To interpret cost data through visual representation such as pie charts and tables.
- To develop skills in classifying costs as fixed, variable, or semi-variable.
- To enhance decision-making ability by understanding cost behavior and control measures.

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INTRODUCTION TO COST SHEET

A cost sheet is a statement that presents the total cost of producing a product or providing a service in a systematic manner by classifying different elements of cost. It is a periodical statement which is designed in detail to show all the elements of cost of goods manufactured. A cost sheet is also known as statement of cost. In simple words, a statement which is designed to show the total cost as well as cost per unit of output for the given period of time is called cost sheet.

The elements of cost sheet are prime cost, factory cost, office and administrative overheads, selling and distribution overheads, opening/closing stocks(Raw materials, work in progress, finished goods), cost of production and total cost.

Importance of cost sheet:

1. A cost sheet helps in controlling costs by identifying wastage and unnecessary expenses.
2. It provides a proper basis for fixing the selling price by adding a profit margin to the total cost.
3. It assists management in making important decisions like whether to expand, reduce, or discontinue production.
4. It shows the relationship between cost, sales, and profit, which helps in analyzing profitability.
5. It presents cost data in a clear and systematic way, improving communication and transparency.

OBJECTIVES OF STUDY

The objectives of this study are:

1. To prepare a cost sheet for a hypothetical company.
2. To calculate Prime Cost, Factory Cost, Cost of Production, and Total Cost.
3. To determine selling price with a profit margin.

METHODOLOGY

Introduction to the Company

Fusionvolt Manufacturing Company is a leading electronics manufacturing firm specializing in the design and production of a wide range of electronic devices and components. The company manufactures products such as consumer electronics, electronic components, smart home devices, industrial control systems, and automotive electronics, catering to both domestic and international markets.

This project report consists of the following:

- a) Collection of data (Data Table)
- b) Classification of data

DATA TABLE

A) Collection of data

Fusionvolt Manufacturing Company supplies the following cost information for the year 2082:

Particulars	Amount	Particulars	Amount
Purchase of materials	150,000	Repair of plant	30,000
Motive power	70,000	Fuel of delivery van	5500
Carriage on purchase	5000	Depreciation on van	15000
Factory supervision	65,000	Income tax	90,000
Carriage outward	4500	Salary	45,000
Direct labor	35,000	Commission	20,000
Insurance premium	10,000	Showroom rent	10,000
Electricity charges	20,000	Direct expense	25,000
Legal charges	5,000	Goodwill written off	4000
General expenses	20,000	Sales of scrap	3500
Office rent	35,000	Printing & Stationery	5000
Chargeable expenses	40,000	Consumable stores	35,000
Advertising	5000	Import duty	40,000

Stocks information:

Stocks	Opening	Closing
Raw materials	Rs. 30,000	Rs. 20,000
Work in progress	Rs.18,000	Rs.8,000
Finished goods	20,000 units	- units

The other information supplied by the company for the year ended is as follows:

Units produced: 50,000 units

Units sold: 40,000 units

Profit: 20% on total cost

B) Classification of data

Fixed cost	Variable cost	Semi-variable cost
Office rent	Direct labor	Motive power
Salary	Carriage on purchase	Fuel of delivery van
Depreciation on delivery van	Purchase of materials	Printing and stationery
Insurance premium	Carriage outward	Electricity charges
Showroom rent	Import duty	Chargeable expenses
Legal charges	Direct expenses	
Factory supervision	Consumable stores	
	Commission	

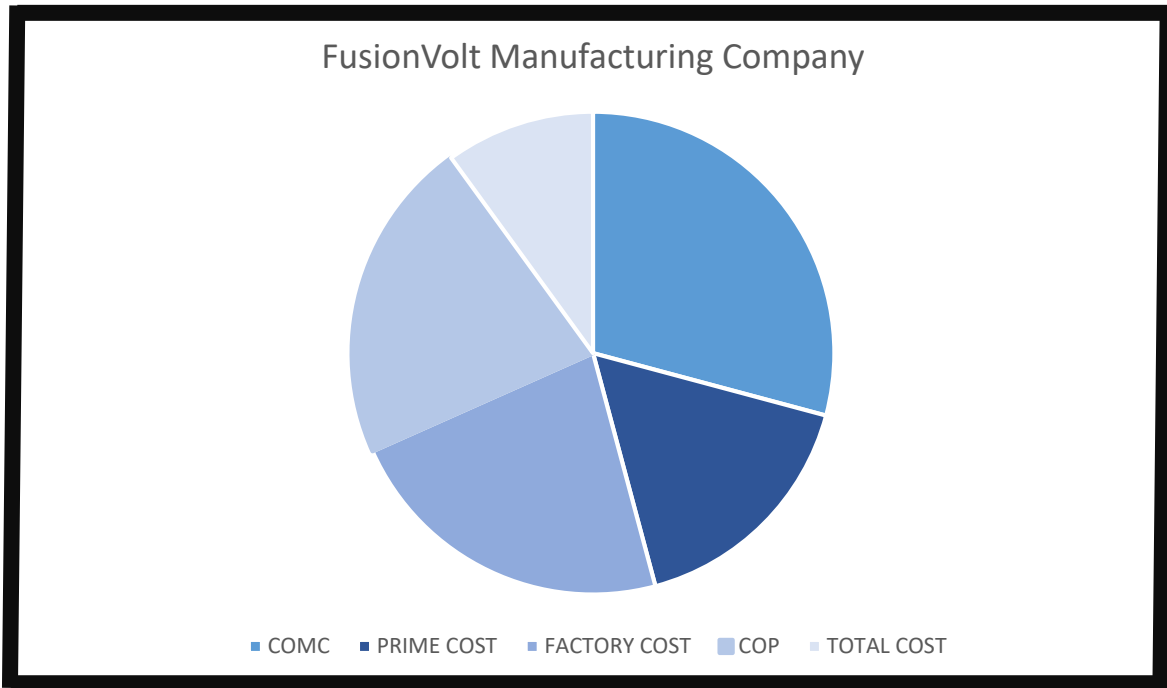
COST SHEET

FUSIONVOLT MAUFACTURING COMPANY COST SHEET OUTPUT: 50,000 UNITS		
Particulars	Detail	Total
Opening stock of raw materials	30,000	
Add: Purchase of materials	150,000	
Carriage on purchase	5000	
Import duty	40,000	
Closing stock of raw materials	(20,000)	
a) Cost of materials consumed		205,000
Add: Direct labor	35,000	
Direct expenses	25,000	
Chargeable expenses	40,000	
b) Prime cost		305,000
Add: Factory Overheads		
Motive power	70,000	
Consumable stores	35,000	
Repair of plant	30,000	
Factory supervision	65,000	200,000
Opening stock of work-in-progress	18,000	
Closing stock of work-in-progress	(8000)	
Less: Sales of scrap	3500	6500
c) Factory cost		511,500
Add: Office & Administrative Overheads		
Legal charges	5000	
Printing and stationery	5000	
Electricity charges	20,000	
Office rent	35,000	

Salary	45,000	
General expenses	10,000	
Insurance premium	10,000	
d) Cost of production		641,500
Opening stock of finished goods	432,600	
Closing stock of finished goods	(648900)	
e) Cost of goods sold		425,200
Add: Selling & Distribution Overheads		
Carriage outward	4500	
Showroom rent	10,000	
Commission	20,000	
Fuel of delivery van	5500	
Depreciation on delivery van	15,000	
Advertising	5,000	
f) Total cost		485,200
Add: Profit		97040
Sales		582,240

VISUALS

The pie chart below has been created to provide a clearer visualization of the cost distribution shown above.



The following represents the percentage distribution in the pie chart.

FusionVolt Manufacturing Company		
Particulars	Amount	Percent
Cost of Material Consumed (COMC)	175,000	29.17%
Prime cost	100,000	16.67%
Factory cost	135,000	22.50%
Cost of Production (COP)	130,000	21.67%
Total Cost	60,000	10%
TOTAL	600,000	100%

FINDINGS AND CONCLUSIONS

The given table shows the percentage share of different cost components represented in a pie chart of FusionVolt Manufacturing Company. It includes COMC, Prime Cost, Factory Cost, COP, and Total Cost, each contributing a certain portion to the total cost. These values help us understand how much importance or weight each cost carries in production. The chart provides a clear visual comparison between all the cost components. Overall, this table gives a clear breakdown of how expenses are distributed within the total cost structure.

From the data of FusionVolt Manufacturing Company, it is clear that COMC holds the largest share at 29.17%, making it the main cost element. Factory Cost and COP follow closely with 22.50% and 21.67%, showing that they also play a significant role in the total cost. Prime Cost has a moderate share of 16.67%, while Total Cost is the smallest at 10%. This shows that production-related costs like COMC, COP, and Factory Cost take up most of the total expenditure. Managing or reducing these costs could greatly help in improving efficiency and profitability.

In conclusion, the pie chart of FusionVolt Manufacturing Company gives a clear picture of how various costs are distributed within the total expenses. COMC stands out as the most dominant factor, followed by Factory Cost and COP. Meanwhile, Prime Cost and Total Cost hold smaller portions, showing that they have less influence on total cost. Reducing the higher percentage costs could lead to better financial management. Overall, understanding this cost structure can help in making smarter production and budgeting decisions.

DIFFERENCES BETWEEN JOB ORDER COSTING AND PROCESS COSTING

Introduction:

- A. Job Order Costing : This method gathers and accumulates costs for each job and work order received from customer.
- B. Process Costing: The costing method that ascertains the cost of each process or stage of producing output is called process costing.

Differences:

S.N	Basis	Job order costing	Process costing
1.	Definition	It is a method that accumulates costs for each specific job or order received from a customer.	It is a method that determines the cost of each process or stage involved in producing output.
2.	Cost Accumulation	In Job Order Costing, costs are tracked separately for each job.	In process costing, costs are accumulated for each process or department over a period of time.
3.	Work Order System	Job Order Costing requires a work order for each job to record the costs.	Process Costing does not use individual work orders and instead focuses on processes or departments.
4.	Cost Control	Cost control is easier because costs are analyzed for each individual job.	Cost control is applied to processes or departments rather than individual units.

ANNEX

➤ Calculations done in the cost sheet:

$$\begin{aligned} \text{a) Cost of Production} &= \frac{\text{Cost of production}}{\text{Production units}} = \frac{1081500}{50,000} \\ \text{per unit} &= \text{Rs. 21.63} \end{aligned}$$

$$\begin{aligned} \text{b) Sales unit} &= \text{Opening stock unit} + \text{Production unit} - \text{closing stock unit} \\ 40,000 &= 20,000 + 50,000 - \text{closing stock unit} \\ 40,000 - 70,000 &= -\text{closing stock unit} \\ \text{Closing stock units} &= 30,000 \text{ units} \end{aligned}$$

$$\begin{aligned} \text{c) Opening stock} &= \text{opening stock unit} \times \text{cost of production per unit} \\ &= 20,000 \times 21.63 \\ &= \text{Rs. 432,600} \end{aligned}$$

$$\begin{aligned} \text{d) Closing stock} &= \text{closing stock unit} \times \text{cost of production per unit} \\ &= 30,000 \times 21.63 \\ &= \text{Rs. 648,900} \end{aligned}$$

$$\begin{aligned} \text{e) Profit} &= 20\% \times \text{total cost} \\ &= \frac{20}{100} \times 485,200 \\ &= \text{Rs. 97,040} \end{aligned}$$

➤ Calculation of Percentage occupied by each heading in pie-chart:

Particulars	Amount	Calculation	Percent
Cost of Material Consumed (COMC)	175,000	$(175,000 \div 600,000) \times 100$	29.17%
Prime cost	100,000	$(100,000 \div 600,000) \times 100$	16.67%
Factory cost	135,000	$(135,000 \div 600,000) \times 100$	22.50%
Cost of Production (COP)	130,000	$(130,000 \div 600,000) \times 100$	21.67%
Total Cost	60,000	$(60,000 \div 600,000) \times 100$	10.00%

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PROJECT WORK TITLE

A Project Work Report

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evaluation of Grade 12.

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